Case Study:
PetCare acquires VetWell

A comprehensive Post Merger Integration plan

March 30, 2025

The integration of the two companies results in a new Business Model with new revenue streams

Key partners

- **External specialists** (PetCare support)
- **Tech providers** (IT licenses, remote platforms)
- **Medical suppliers**
- **Local partnerships**

Key activities

- **Medical services** delivery
- Coordination of **specialist visits and emergency interventions**
- **telemedicine consultations** and Operation of premium services (spa, nutrition, home visits)
- **Clinic administration**, **CRM** support, and customer care

Key resources

- Clinics network
- 24/7 veterinary staff of veterinarians, specialists, spa operators
- VetWell's proprietary digital tools Brand equity from both PetCare and VetWell

Value propositions

A **comprehensive veterinary care platform** combining **PetCare's scale**, accessibility, and emergency capabilities and **VetWell's premium, personalized services** and digital innovations:

- Reliable routine C specialist medical care
- 24/7 emergency hospital support
- Premium offerings like spa treatments and home consultations
- Telemedicine-enabled access and convenience

Customer relationships

- **Clinic-led trust-building** through long-standing relationships
- **Independent care model** per clinic with local leadership
- **Digital engagement** via VetWell's app

Channels

- **Physical Clinics**
- **Phones Call Center** for appointment booking
- **VetWell's digital channels:** AI-powered telemedicine platform
- **Web presence** with potential for enhancement

Customer segments

- **Mainstream clients**: Owners seeking affordable, quality veterinary care
- **Premium segment**: High-income clients desiring personalized experiences
- **Digitally engaged pet parents**: Clients using remote care and online scheduling
- **Local communities**: Across urban and suburban Lombardy (PetCare) and Brescia (VetWell)

Cost structure

- Labour-intensive **clinical operations** (veterinary staff, specialists)
- **IT systems** (VetWell: high license cost; PetCare: internal systems)
- **Materials** and **medications**
- **Marketing** and communications (mainly VetWell-driven)
- **Facilities**, **maintenance**, and admin service

Revenue streams

- **Routine check-ups**, basic and specialist **surgeries**, **emergency services** (PetCare hospital)
- **Telemedicine consultations** (VetWell)
- **Spa** and premium care services (VetWell)
- **Product sales**: medications, supplements, therapeutic diets
- New **subscription based services**

Potential Revenue Streams

1.

Premium **digital concierge service** based on recurring monthly **subscription fees** and upsell of priority services and products

2.

Integration of **smart collars** to monitor vital signs, activity, and health indicators for proactive alerts and predictive health analysis. Relying on **device purchase fees** and **recurring subscription fees**.

3.

Post-surgery care programs offering tailored solutions, in-clinic or via home visit/remote guidance based on a **fee-per-session model**

Synergies can drive substantial revenue growth and cost savings, but some extra investment is necessary for granting a smooth transition and unlocking their full value

High-Level Synergies

Digital Transformation & CRM Integration:

Integrating VetWell's **digital capabilities** (like its state-of-the-art CRM, or its AI-powered telemedicine services) into PetCare will improve customer engagement, **automate scheduling**, and **streamline operations**. AI-powered remote consultations will cut admin workload and open new revenue streams

Operational Efficiency & Cost Optimization:

Merging procurement, supply chain, and financial operations will **lower costs** on **medical supplies** and **third-party services**. Reducing reliance on external specialists and **consolidating management and staff roles** will improve resource **efficiency**, positively impacting profitability

Service Expansion & Revenue Growth:

Adding VetWell's premium services, like personalized pet nutrition and luxury treatments, enables **cross-selling and bundled offerings**, attracting high-end clients. Additionally, the merger allows to expand the business portfolio with **new revenue streams**

Talent Development and Innovation:

Standardizing VetWell's **training programs**, AI-driven **diagnostics**, and **innovation-oriented** treatment protocols across PetCare clinics will enhance service **quality**, improve patient **outcomes**, and attract top-tier **veterinary talent**. A strong learning culture will boost staff retention and customer trust

Premium Brand Strengthening & Market Differentiation

The integration provides an opportunity for PetCare to establish a **dual-brand strategy**: maintaining VetWell as a premium, boutique offering while PetCare serves a broader customer base. This ensures **complete market coverage** across price segments while **preventing customer attrition**

Potential Dissynergies

High Upfront Costs for Digital Integration:

PetCare's internal IT system relies on basic proprietary management programs that are **not easily scalable or compatible** with external platforms. Integrating VetWell's telemedicine, CRM, and AI-powered systems will require major **investment** in **software upgrades**, **system migration**, and **staff training**

Rebranding expenses for ensuring business continuity:

Preserving VetWell's **premium brand identity** during its integration with PetCare necessitates targeted **marketing** and **customer communication** initiatives. A clear branding strategy will be crucial for a seamless transition and to maintain customer trust. Our assumption is that the resulting cost increase will be fully mitigated by the efficiencies achieved through the combined marketing operations of VetWell and PetCare, leading to a neutral financial outcome

Increased Labour costs from Specialized hiring:

Though operational mergers reduce supply and service expenses, minimizing reliance on external specialists requires **hiring specialized veterinarians**, driving up **labour costs**. This, alongside **additional hires** for **market growth**, creates negatively impacts labour cost projections.

Cultural Integration Challenges & Workforce Misalignment:

Differences in culture, service models, and operations often create friction among employees, **preventing synergy achievement**. To avoid this, investing in **change management initiatives** and strong HR support is essential to unify teams and ensure smooth integration

An End-to-End Integration Plan to drive Value by unlocking Synergies and mitigating dissyinergies across Brand, Operations, and Organizational Structure

Tiered Brand Strategy Implementation

PetCare was a mid-tier network focused on accessibility, while VetWell specialized in premium wellness and AI-driven care. Post-merger, a **tiered model** will maintain "***VetWell by PetCare***" for high-end clients, offering premium services like spa treatments and home visits, while standard PetCare clinics will integrate select VetWell offerings through **cross-selling** and **product bundling,** driving revenue growth and retention

Procurement and Supply Chain optimization

Before the merger, PetCare and VetWell **purchased similar medical supplies from different vendors**, leading to inefficiencies. Post-merger, procurement will be **centralized**, consolidating supplier contracts and leveraging **bulk purchasing agreements** for cost savings. Inventory management will be standardized across clinics using **VetWell's CRM-based tracking system**, reducing waste and improving supply availability

Workforce Upskilling

PetCare outsourced specialists, while VetWell had in-house expertise. Post-merger, **cross-training programs** will upskill PetCare's vets in **AI diagnostics and preventive care**, while **specialist rotations** will expand services. When VetWell specialists are underutilized, they will **fill vacancies at PetCare clinics**, reducing reliance on third-party professionals. PetCare's hospital will evolve into a **Center of Excellence** for advanced cases

Unification of IT Systems

PetCare's disconnected IT systems will be replaced with VetWell's **AI-driven CRM**, centralizing **patient records, scheduling, and customer management**. Post-merger, data migration, **workflow automation, and staff training** will enhance efficiency and improve the patient experience across all clinics

Staff functions centralization

PetCare had **decentralized HR, finance, and marketing**, while VetWell was centralized. Post-merger, a **Shared Services Center** will handle payroll, procurement, and financial reporting. HR will adopt a **standardized recruitment and training process**, while marketing will follow a **unified digital strategy** to strengthen brand identity

Initiative implementation strategy: targeting improvement in the short to medium term

Tiered Brand Strategy Implementation

This initiative requires **brand narrative alignment and external communication strategy**. It should follow early-stage operational integration to ensure the unified organization can deliver on the brand promise.

Procurement Optimization

Pre-merger sourcing inefficiencies resulted in **fragmented supplier relationships and higher pricing**. This is a **fast-track priority** for short-term savings and efficiency. Procurement teams can begin immediate alignment of suppliers, pricing models, and order volumes. it's ideal for early-phase execution, unlocking value within the first quarter post-merger.

Unification of IT Systems

IT integration must follow procurement and precede customer experience initiatives. Transitioning to VetWell's AI-powered CRM and telemedicine tools is **technically complex** but crucial for standardizing operations and unlocking digital services. clinic-by-clinic rollouts along existing systems ensures continuity and training effectiveness.

Staff Functions Centralization

This is a *"Combine Slowly"* move due to **structural and cultural complexity**. HR, finance, and marketing centralization should be started only after operations stabilize and leadership organization is aligned. Begin with shared reporting systems and cross-functional coordination before executing formal restructuring and shared services migration.

Workforce Upskill

Workforce upskilling is a **long-term transformation to enhance value**. Early focus should be on **cross-training between PetCare and VetWell clinicians**, promoting internal knowledge sharing and supporting consistent care standards across clinics with a second step (Center of Excellence) to reduce risks, avoids staff fatigue, and delivers service-level benefits.

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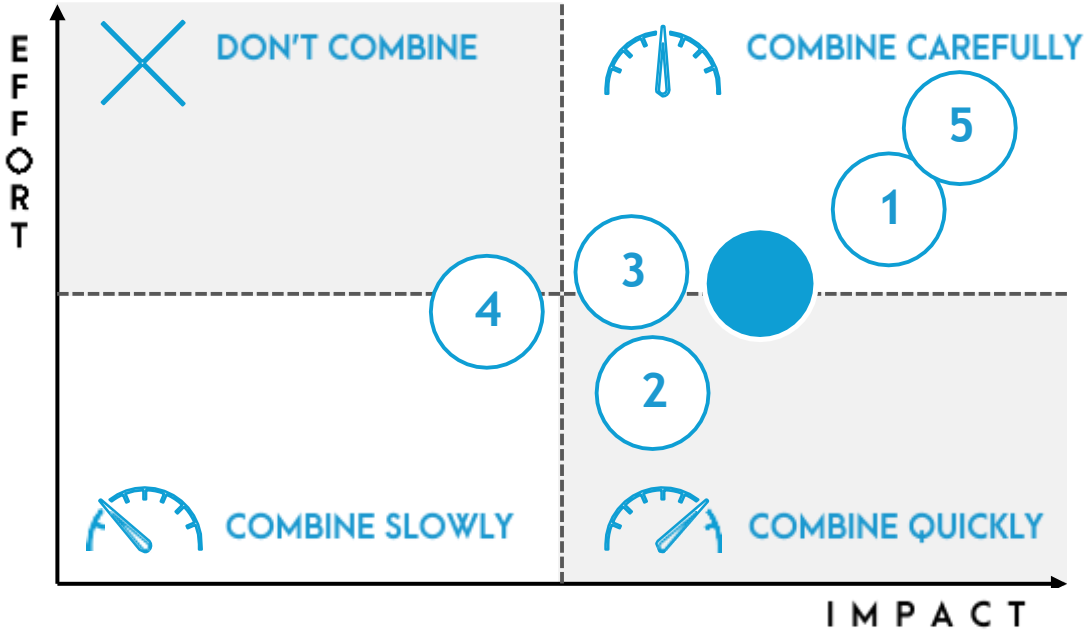
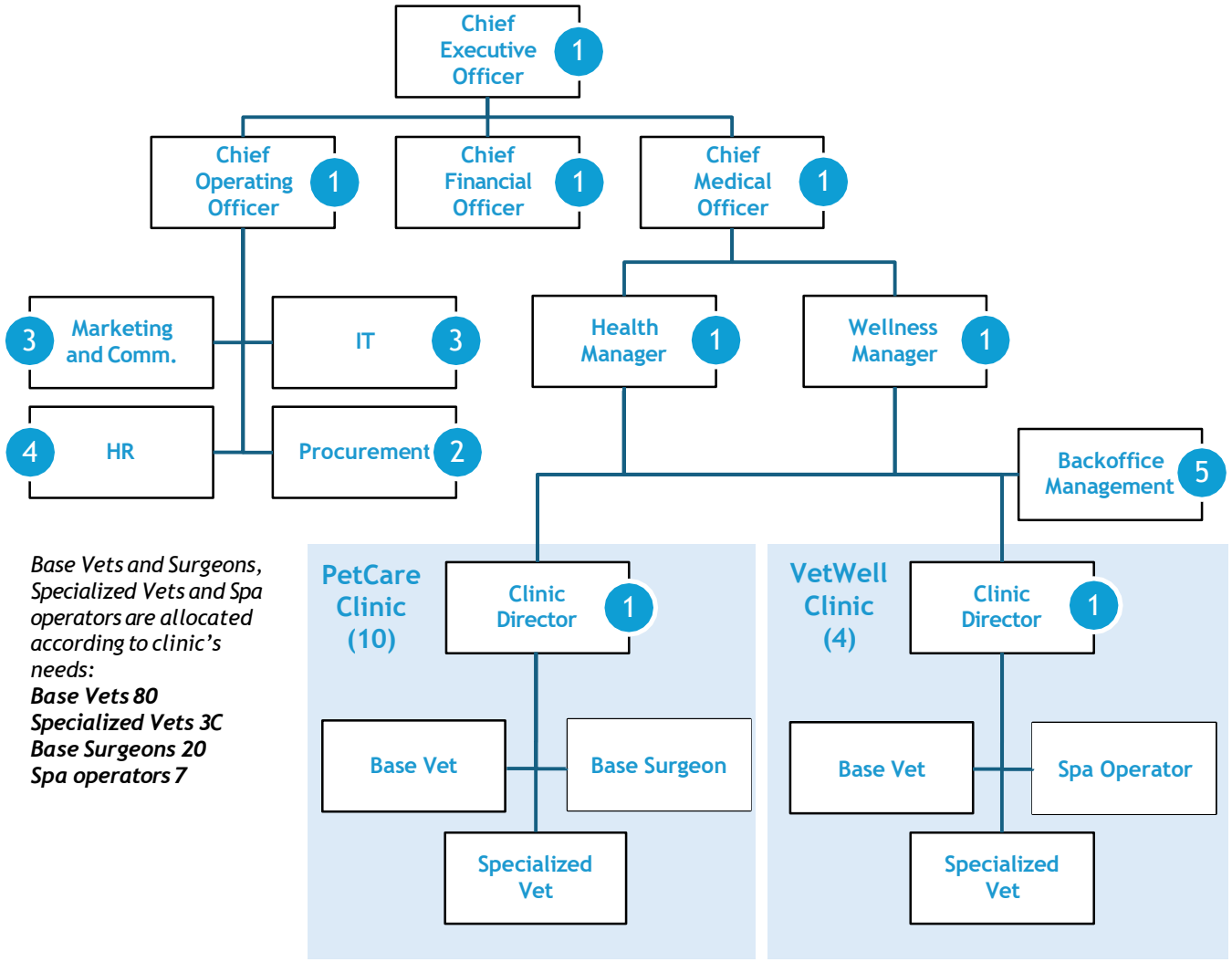


The implementation of initiatives is prioritized on both **short-term results and long-term value**, taking into account the complexity and effort required.

Impact is assessed through both on direct economic outcomes and improvements in non-financial performance, which are expected to drive sustainable financial benefits over time.

Based on the aggregated positioning of individual initiatives within the impact-effort matrix, **the merger is estimated to represent a high-impact, moderate-effort opportunity.**

New Organizational Structure in the post-merger entity



Base Vets and Surgeons, Specialized Vets and Spa operators are allocated according to clinic's needs:
Base Vets 80
Specialized Vets 3C
Base Surgeons 20
Spa operators 7

The post-merger organizational structure presents an **integrated and scalable model**, combining the clinical solidity of PetCare with VetWell's premium, high-tech service proposition.
The design is built around three pillars: corporate operations, medical excellence, and financial governance.

A **Chief Operating Officer (COO)** oversees shared services (IT, Procurement, Marketing), enabling **cost synergies and centralized capabilities**, while a **Chief Medical Officer (CMO)** leads clinical governance, split into sub-divisions **Health** and **Wellness.** This allows for continuity of both surgical expertise and value-added services like spa treatments, telemedicine, and personalized pet nutrition in each clinic.
Each clinic is managed by a **dedicated Clinic Director** with clear accountability for performance and quality, supported by a team of base and specialized vets, surgeons, and spa operators according to service needs.

The **Backoffice Management** function, under the CMO, provides support at clinic level while maintaining alignment with centralized standards.
This structure balances **central control and local flexibility**, improving consistency in service delivery, while allowing for a needs-based micromanagement.

As part of the initial integration phase, a dedicated **Integration Office** will support,under direct supervision of the CEO a **smooth transition and alignment between PetCare and VetWell**. Composed of representatives from HR, IT, operations, and finance, the Integration Office will operate for the first 12–18 months post-merger to monitor progress on synergies, manage change initiatives, and mitigate integration risks

The post-merger Operating Model leverages VetWell's innovative know-how with PetCare's scale of operations

COMBINED

BOTH

Client acquisition & Management	Reception and management	Diagnosis and treatments	Post-treatment care	Sales of additional products and services	Emergency and urgent care
VetWell's proven **digital campaigns**, pet food **partnerships** and loyalty programs, **scaled** across PetCare's larger network to drive client base growth	**VetWell's model** based on **centralized Back-office** and **state-of-the-art CRM** allows to **insource** all booking services and **eliminate paper** records, improving overall efficiency	**Standardized high quality of care** across clinics, reducing reliance on Third Party Professionals. Select **high-end services** (statistical analytics, telemedicine) now also **available to PetCare**	PetCare's **clinical rehab** is **enhanced** by **wellness** and **remote monitoring** services, ensuring a holistic recovery approach. Complex cases are routed to PetCare's hospital via telemedicine	Premium wellness packages **integrate** VetWell's personalized **nutrition plans** with PetCare's broad pharmacy network, creating new **high-margin bundles** for all client tiers	PetCare's **24/7 hospital infrastructure** is enhanced by VetWell's **AI-powered telemedicine system**, providing seamless **remote emergency support** for all customers **at any time**

Human Resources Management	IT and Data Management	Procurement, Logistics and Supplier Management
VetWell's **standardized training protocols** ensure consistent care quality levels and enable PetCare to **employ their own Specialized Vets**, reducing outsourcing costs	VetWell's **unified CRM and AI telemedicine platform** with outsourced IT support enables **data-driven care**, **seamless integration**, and **scalable operations** while optimizing costs	**Centralized purchasing operations** based on VetWell's efficient **bulk procurement model** scaled to PetCare's size allow to achieve **scale economies** and reduce costs

VetWell PetCare+VetWell

Premium Service Delivery

Expanded Portfolio:

The merger combines PetCare's affordable basic care with VetWell's premium services (telemedicine, spa, nutrition), creating **tiered offerings for all clients**. New bundled solutions like wellness plans with remote monitoring unlock **additional revenue streams**

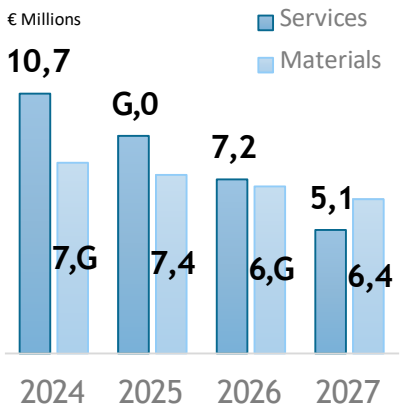
Enhanced Customer Experience:

Customers enjoy a **Premium experience** with effortless and precise **appointment booking**, **24/7 emergency care** through AI-powered online consultations and in-person hospital services, plus **convenient home consultations**.

Operational Efficiency

Standardizing training and **insourcing** the **booking services** through VetWell's **CRM system** is estimated to **cut Service Costs by 52%** (€5.6M).

Centralizing procurement allowed achieving **scale economies**, resulting in a projected **€1.5M decrease in Materials costs**.



Future-oriented Scalable Growth

Hub-and-Spoke model:

The new digital know-how **streamline clinic onboarding** within a **Hub-and-Spoke model**, seamlessly linking all satellite clinics to PetCare's central specialized Hospital

Data-driven optimization:

Data analysis from VetWell's outsourced IT support optimizes operations by **directing resources** to high-demand areas and **minimizing excess inventory**

Tech-powered growth:

A Cloud-based system enables **scalability** by seamlessly **deploying** system updates, services, protocols, and new tools across all clinics at once, avoiding fragmented rollouts

Governance Structure for Integration to ensure strategic control, operational speed, and full accountability across the integration journey

Governance structure	Leadership Roles	Decision-Making Process	Accountability Measures
Integration Steering Committee	• CEOs of PetCare and VetWell • CFO of PetCare • Medical Officers of PetCare and Vetwell	• Final authority on strategic decisions • Decides during structured monthly reviews	• Validates KPIs and milestone achievement • Owns strategic coherence and final alignment
Integration Coordinator	• CEO of PetCare	• Sponsors execution and resolves integration bottlenecks • Aligns streams and escalates unresolved issues to Steering	• Reviews workstream progress and escalation log • Accountable for execution pace and layer consistency
PMO	• M&A consultant Lead	• Enables decision-making through structured reporting • Identifies risks and blockers • Escalates to Coordinator when critical	• Maintains Gantt, synergy tracker, risk register • Measures execution effectiveness across streams
Change Management Committee	• Head of Comunication PetCare • Head of HR of VetWell • Head of IT of VetWell • Consultant (IT, Operations, Brand&MKT)	• Adapts training and communication plans based on feedback • Escalates engagement/resistance signals to Coordinator	• Tracks training completion, engagement KPIs • Owns comms tracker and feedback loop
Teams: IT and Data integration; Procurment and Ops; Mkt and branding; HR	• Employees from various functions	• Make daily decisions on task execution • Escalate tool/process/adoption issues to PMO or Change Committee	• Complete task checklists and report KPIs • Escalate blockers using standard formats

Communicating the Change

Clear, consistent communication and a well-designed training program are critical to the integration's success because they ensure people are **informed**, **engaged**, and **equipped to adopt new ways of working** while minimizing resistance

Technique	Description	Target	Owner	Freq.
Customer Kit	Inform clients about the new VetWell by PetCare brand, services and continuity	VetWell clients	Marketing + Clinics	Launc/ Refresh
Leadership Update	Share integration progress, reassure teams	All employ.	Steering Com.	Monthly
Clinic Feedback Loop	Gather feedback and monitor engagement	Clinic staff	Change Agents	Weekly
Open Q&A Sessions	Clarify doubts after major changes	All employ.	Change Committee	As needed

Proposed training programs align employees with the new strategy and mitigate resistance to change using engagement boosting techniques and change agents promoting the initiatives

IT&Digital training

Objective: Ensure adoption of VetWell's CRM, telemedicine, and AI tools
Target: Clinical & administrative staff
Methods: Micro-learning, scenario-based training, and peer-led demos.

Service Excellence

Objective: Standardize care and enhance customer experience.
Target: Vets, nurses, front-desk staff
Methods: Cross-training, AI diagnostics, and customer interaction workshops.

Cultural Integration

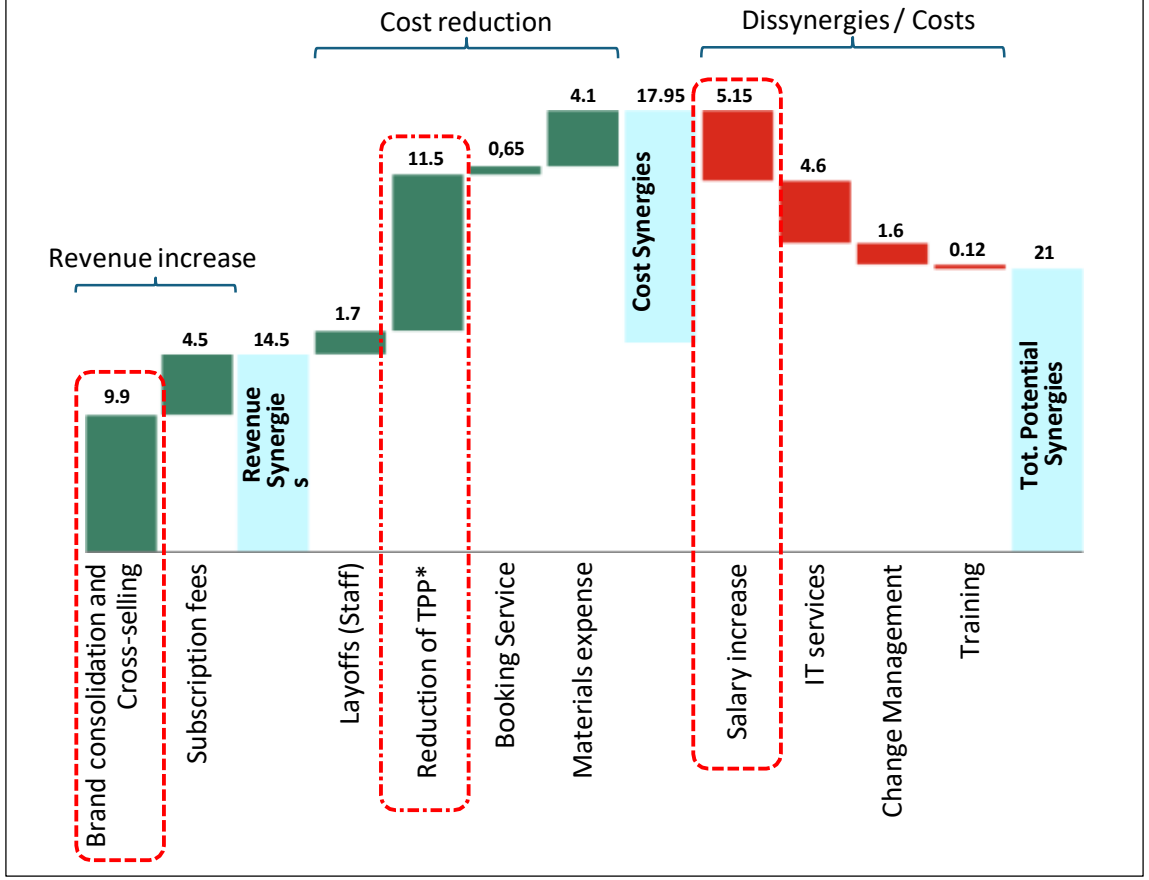
Objective: Align employees with the dual-brand strategy and culture
Target: All employees
Methods: Gamified onboarding, storytelling, and local Change Agents

Synergy Realization unlocks €21M in Value, driving EBITDA to €17.5M with a 30% EBITDA Margin by 2027

Value creation stems mainly from **€9.9M** in **revenue** driven by **increased Market Share** and premium products cross-selling and **€11.5M** in **cost savings** from **redeuced third-party professionals dependencies**, though partly offset by **higher labor costs** from Specialized Vet hires

Synergies Quantification

Numbers in Millions €

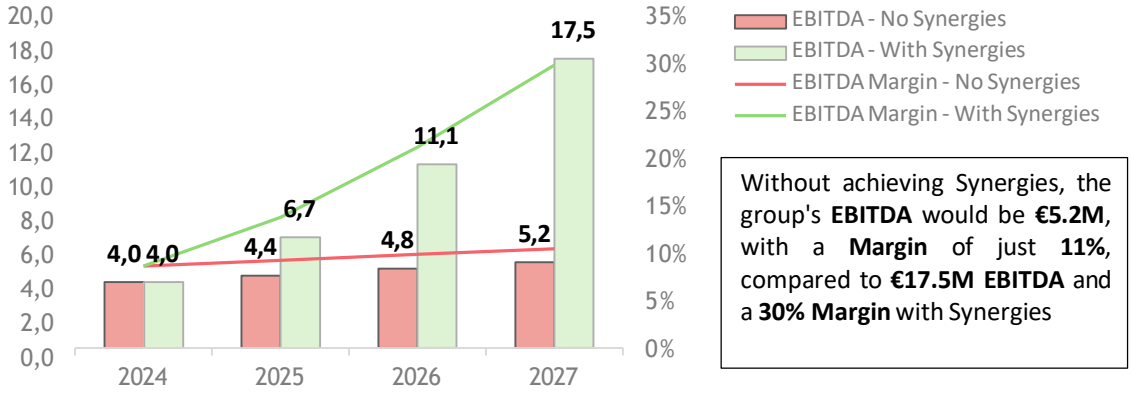


** Third-Party Professionals*

P&L Comparison

Numbers in Millions €

	NO SYNERGIES		WITH SYNERGIES	
	2024	2027	2024	2027
Revenues				
Standard Treatments	44,2	47,4	44,2	52,3
Premium Treatments	1,8	2,0	1,8	2,5
New Subscription services	-	-	-	-
TOT.	**45,9**	**49,4**	**45,9**	**58,4**
Costs				
Labour	13,3	14,4	13,3	17,2
Training	0,3	0,3	0,3	0,4
G&A (100% Staff costs)	2,2	2,2	2,2	1,4
Third party professionals	10,4	11,0	10,4	5,1
Other services	4,5	4,5	4,5	4,1
Materials	7,9	8,5	7,9	6,4
Marketing & communication	1,1	1,1	1,1	1,1
IT service	2,3	2,3	2,3	4,6
Change Management Initiatives	-	-	-	-
TOT.	**41,9**	**44,2**	**41,9**	**40,9**



Without achieving Synergies, the group's **EBITDA** would be **€5.2M**, with a **Margin** of just **11%**, compared to **€17.5M EBITDA** and a **30% Margin** with Synergies